

but as a practical matter he cannot approach the division of risk attained by an insurance company. More important still is the danger that many risky investments may collapse together in a depression period, so that the investor in high-yielding issues will find a period of large income (which he will probably spend) followed suddenly by a deluge of losses of principal.

It may be contended that the higher yielding securities on the whole return a larger premium above “pure interest” than the degree of risk requires; in other words, that in return for taking the risk, investors will in the long run obtain a *profit* over and above the losses in principal suffered. It is difficult to say definitely whether or not this is true. But even assuming that the high coupon rates will, in the great aggregate, more than compensate on an *actuarial* basis for the risks accepted, such bonds are still undesirable investments from the *personal* standpoint of the average investor. Our arguments against the investor turning himself into an insurance company remain valid even if the insurance operations all told may prove profitable. The bond buyer is neither financially nor psychologically equipped to carry on extensive transactions involving the setting up of reserves out of regular income to absorb losses in substantial amounts suffered at irregular intervals.

Risk and Yield Are Incommensurable. The foregoing discussion leads us to suggest the principle that income return and risk of principal should be regarded as *incommensurable*. Practically speaking, this means that acknowledged risks of losing principal should not be offset merely by a high coupon rate, but can be accepted only in return for a corresponding opportunity for enhancement of principal, *e.g.*, through the purchase of bonds at a substantial discount from par, or possibly by obtaining an unusually attractive conversion privilege. While there may be no real *mathematical* difference between offsetting risks of loss by a higher income or by a chance for profit, the *psychological* difference is very important. The purchaser of low-priced bonds is fully aware of the risk he is running; he is more likely to make a thorough investigation of the issue and to appraise carefully the chances of loss and of profit; finally—most important of all—he is prepared for whatever losses he may sustain, and his profits are in a form available to meet his losses. Actual investment experience, therefore, will not favor the purchase of the typical